

research all day long looking for opportunities. If you want to beat the market, you need to hire us so you can access their capabilities.”

- *Relationship tactics.* “Jim, you've been with the firm for 20 years. You trust us, right? Let me take you out to lunch and we can discuss this ridiculous decision to do-it-yourself.”

Before you get snared in a trap set by a financial “expert,” reread [Part One](#) of this book. Next, identify if the expert is pitching you on her services by leveraging fear, greed, complexity, or relationship tactics. If you sense a trap, run the other way as fast as you can (and don't forget your wallet!). And if you simply don't have the time to deal with your portfolio, focus on experts that utilize systematic evidence-based approaches in their investment portfolio.

But let's say you are ready to be the chief investment officer of your family office, whether it has assets of \$10,000 or \$5,000,000,000. You want to learn; you are willing to work hard; and you have eaten a healthy dose of humble pie. The next question is the following: “How do I manage my portfolio?” The process to becoming a DIY family office is straightforward:

- Step 1: Assess your current advisor/broker relationships.
- Step 2: Stick to the FACTS:

Fees

Access

Complexity

Taxes

Search

- Step 3: Understand portfolio management fundamentals:

Asset allocation

Risk management

Security selection